

Infinitely close. How close is infinitely close? As close as possible and always getting closer. In retirement, you want your housing costs infinitely close to zero.

Vicki and I own a small apartment in Buenos Aires. Our total monthly cost, besides a small opportunity cost in having maybe \$20,000 of capital tied up, is about \$40. That includes property taxes, maintenance, condo fees, utilities, and insurance.

Use your imagination to come up with a way to house yourself for less than you pay now. Start with the options most immediately open to you.

A woman from Los Angeles retires to her modest second home in the Mojave Desert. A developer in Providence retires and moves into one of his rental units. A Detroit architect moves into his sister's guest quarters over the garage. The sister doesn't need the space—the guest room in the house is more comfortable—and likes having her brother around for security. A San Francisco couple retires to the family farm in Idaho. Mom and Dad had sold the acreage but got stuck with the old house. When Mom and Dad moved to the city, the “kids” moved to the now-abandoned farmhouse. The whole family is thrilled.

These lucky people have second homes, rental units, rich sisters, and a family farm. They reduce their housing costs without shaking up their lives. But the rest of us have a more difficult time of it. The rule?

Go south

RETIRING IN THE UNITED STATES

Mount Olive, North Carolina, is an hour by car from Raleigh and has a population of maybe three thousand people. It's a charming throwback to a more leisurely era. Colonial mansions with shaded entrances and flower gardens line Main Street. The railroad cuts through the center of town,